hired equipment, etc. If the government had paid Rs 20,000 per MSME owner/worker for the estimated number of 10 crore MSME worker-months and Rs 6000 per MSME for about 8 crore MSMEs for operational expenses, it would have cost the government only about Rs 2.5 lakh crore during 2020–21. Instead of providing this grant-based fiscal support, the government offered to underwrite loss on 20 per cent additional loans to existing MSME borrowers of the banking system, amounting to Rs 3 lakh crore.

While the loan guarantee package was not expected to finally cost the government Rs 3 lakh crore as all the forty-five-odd loanee MSMEs were not likely to default, the loan guarantee package turned out to be enormously deficient with regard to helping the cause of MSMEs mainly for two main reasons. One, the loan package ended up assisting only about 5–7 per cent of MSMEs and that too the ones which are relatively better off; the grant-based package would have served the interest of all the 8 crore micro and small businesses. Two, the loan guarantee package compromised the credit culture massively and would probably end up impairing the banking system much more than the benefit it would provide to small businesses. It is also likely to create a very bad functional relationship between the government and banks, by bringing the credit policies of banks under direct government interference as is evident in the case of Public Sector Banks (PSBs), functioning under an owner-owned relationship.

The fiscal package could have provided a golden opportunity to bring the MSMEs in the formal business fold and create a good administrative relationship between them and the government through a formal registration and business operations depository system. Using the opportunity of distress caused by the COVID-19 crisis, the Central government could have announced a survival package conditional on MSMEs registering for a unique business ID and filing a return of business operations with the government linked with a unique ID.